

#EconTwitter and Elon Musk: Anatomy of a Failed Exodus

Tin Cheuk Leung and Kwok Ping Tsang

Discussion by Rubaiyat Alam

Kansas State University

Summary

Broad question: How network effects slow down switching to rival product.

Specific setting: Attempted tipping from X to Mastodon.

Overall empirical strategy: See if people with more Mastodon exposure switch away from X, then see how many come back.

Method: DiD on activity measures.

- Treatment 1: Cumulative Mastodon exposure. (but reflection problem)
- Treatment 2: Cumulative Retweets via peers from non-followed accounts.

Reflection problem

Does retweet measure fix the reflection problem?

Problem with cumulative Mastodon tweets:

- If A and B are friends, similar preferences.
- B tweets about Mastodon, A sees it.
- A stops using Twitter.
- Is that because: B influenced A, or A and B have similar preferences so that A would have quit without seeing B's tweet?

Authors' current solution:

- Cumulative retweets by B from accounts not followed by A.

Reflection problem

Does this completely fix the reflection problem?

If A dislikes Musk, A likely follows B who dislikes Musk, who is also likely to follow C who dislikes Musk.

- C's tweets are correlated with A's preferences.
- B's retweet is an implicit endorsement, and therefore is also likely correlated with A's preferences.

Heterogeneous preferences

What is the control group, and how do heterogeneous preferences affect DiD?

Everyone gets treated but with different intensities.

After Musk's acquisition, **the product itself changes**:

- If heterogeneous preferences, some users like this more.
- How does this affect the DiD design?
- How to interpret the coefficient on the “layoffs” /POST variable?
- **Endogeneity concern**: those who like the new product also have social circles who like the product, so they use Twitter more and also see fewer Mastodon tweets.

Does this treatment violate SUTVA?

- Are there spillovers from more-treated to less-treated units?

I think so, and in opposite directions:

- People leave, less people to interact with, so even those in control group stop tweeting.
- People leave, less people to compete with on news feed, tweets receive more visibility, so those in control group tweet more.

Minor comments

- Are these reduced activity users - i) switching to Mastodon, ii) switching to no social media, iii) Multi-homing? Can check from content of Tweets.
- Are the Mastodon tweets saying something positive or negative about Mastodon? I remember reading how Mastodon was harder to use.
- Confusion about how δ_i gets identified intuitively.